



Lessons 15 & 16

1. HDB Flats Policy
2. Sale & Purchase of New and Resale Flat
3. CPF Housing Grants
4. Subletting of HDB flats
5. HDB Housing Loan

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

* For online Zoom lessons, trainers may have their own additional slides on top of the given set for further illustration to students to aid them in their online lesson. Students will be responsible to write down, screenshot or take pictures of those additional slides/notes on their own. Those additional slides/notes will not be provided by SEAA.*

History of Singapore Public Housing



Logo - 1958

Singapore Improvement Trust (SIT) is a former government organisation that was responsible for urban planning and urban renewal in Singapore. Formally established in 1927 under the Singapore Improvement Ordinance, it was modelled after similar organisations in India.



Flat built by SIT



Pictures Source: National Archives of Singapore

History of Singapore Public Housing



**HOUSING &
DEVELOPMENT
BOARD**

Logo - 1960 Logo - Present

In 1960, there was a housing crisis in Singapore. Many people were living in unhygienic slums and crowded squatter settlements. Only 9% of Singaporeans lived in government flats, while others yearned for a place to call home.

Housing & Development Board was set up on 1 February 1960 to solve Singapore's housing crisis. HDB had built 21,000 flats in less than 3 years. 2 years later, that number was 54,000.



Pictures Source:
National Archives of Singapore



**HOUSING &
DEVELOPMENT
BOARD**



Queenstown - 1st HDB flats & Satellite Town

- *first branch library, neighbourhood shopping centre, sports complex were built.*

Queenstown, 1960s



Queenstown, 2015



HDB Vision and Mission



Vision

An outstanding organisation with people committed to fulfilling aspirations for homes and communities all are proud of.

Mission

We provide affordable homes of quality and value

We create vibrant and sustainable towns

We promote the building of active and cohesive communities

We inspire and enable each other to give of our best

ROLES & PURPOSES OF HDB

1. Public housing authority
2. [Home Ownership Scheme](#) for the majority of Singaporeans. (80% Population)
3. Planning, Construction & Development of public housing towns or estates
4. Renewal, upgrading or improvement of public housing flats
5. [Housing loans](#) for purchase of HDB flats
6. Formulation / administration of public housing policies to support national objectives and meet changing needs and aspirations.

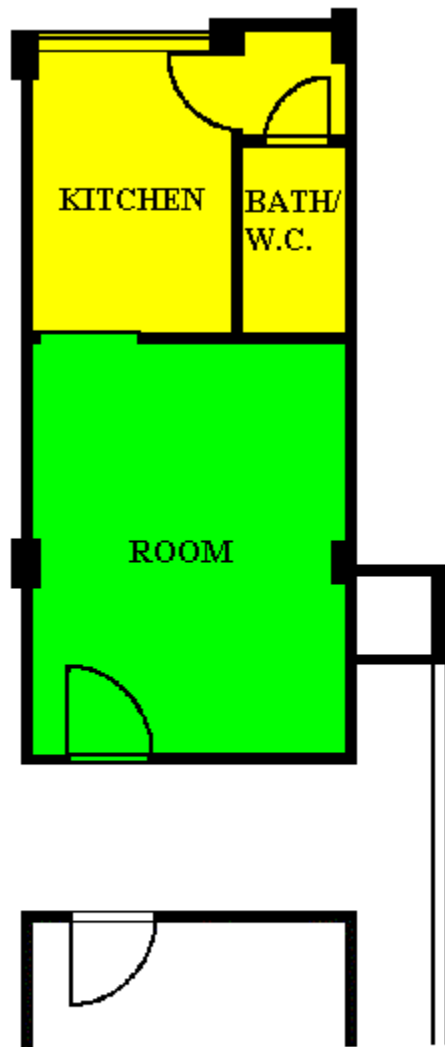
HDB Flat Types – 1960s till Present Times

1. Designed with minimum room sizes in mind and for ease of construction.
2. Costs kept as low as possible to make the flats affordable:

Flat Type	Floor Area
1-Rm Emergency	23 m ²
1-Rm Improved	33 m ²
2-Rm Emergency	37 m ²
2-Rm Standard (2 “STD”)	41 m ²
2-Rm Improved (2 “I”)	45 m ²
3-Rm Standard (3 “STD”)	54 m ²
3-Rm Improved (3 “I”)	60 m ²
3-Rm Simplified (3 “S”)	65 m ²
3-Rm New Generation (3 “NG”)	69 m ²
3-Rm Model A (3 “A”)	75 m ²

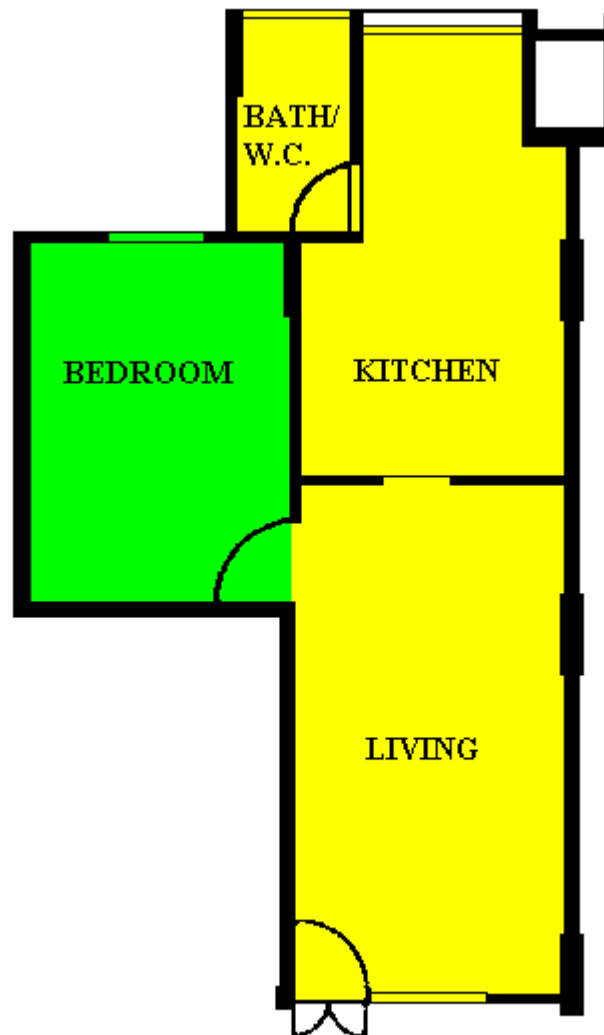
Flat Type	Floor Area
4 Rm - Standard (4 “STD”)	73 m ²
4 Rm Improved (4 “I”)	83 m ²
4 Rm Simplified (4 “S”)	85 m ²
4 Rm New Generation (4 “NG”)	105 m ²
4 Rm Model A / A1 (4 “A”)	105 / 100 m ²
4 Rm Model A2 (4 “Budget”)	93 m ²
<u>5 Room Flat (Introduced 1971)</u>	
5 Rm Standard (5 “STD”)	120 m ²
5 Rm Improved (5 “I”)	123 m ²
5 Rm Model A (5 “A”)	135 m ²
<u>Executive Flat (Introduced 1979)</u>	
Executive Apartment (EA)	143 m ²
Executive Maisonette (EM)	148 m ²

Example of HDB Flats



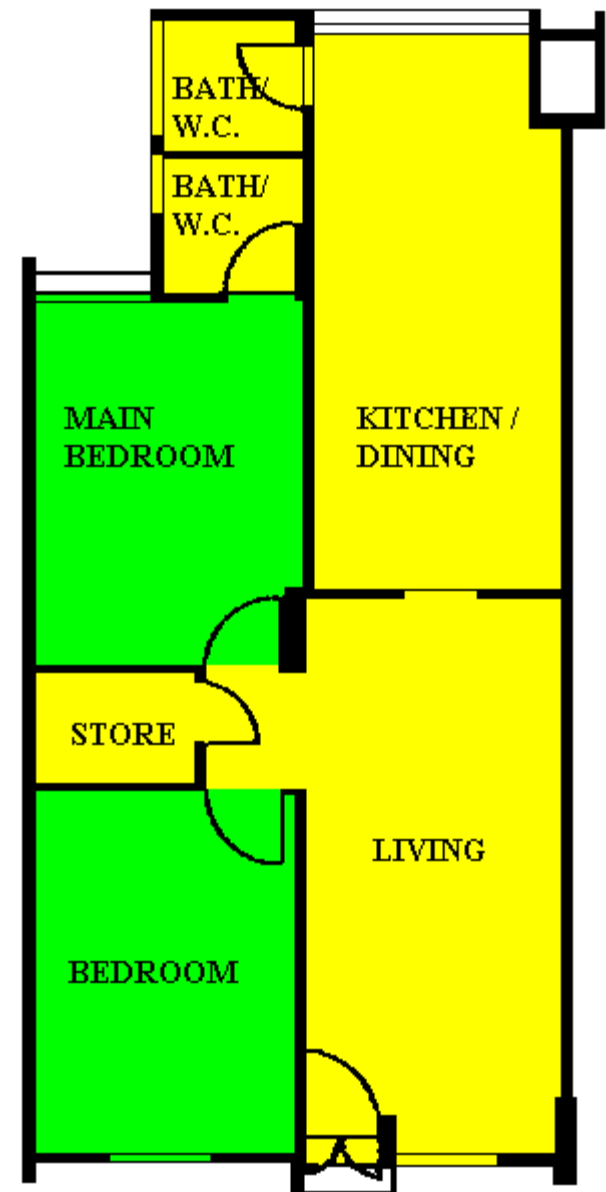
1-Room Emergency

Area : 23 m²



2-Room Improved

Area : 45 m²



3-Room New Generation

Area : 69 m²



Moving out of Yishun: 6 things to know about President Halimah Yacob's jumbo flat

Example of an Executive Apartment



A view of the corridor leading to Madam Halimah Yacob's Yishun flat: PHOTO: LIANHE ZAOBAO

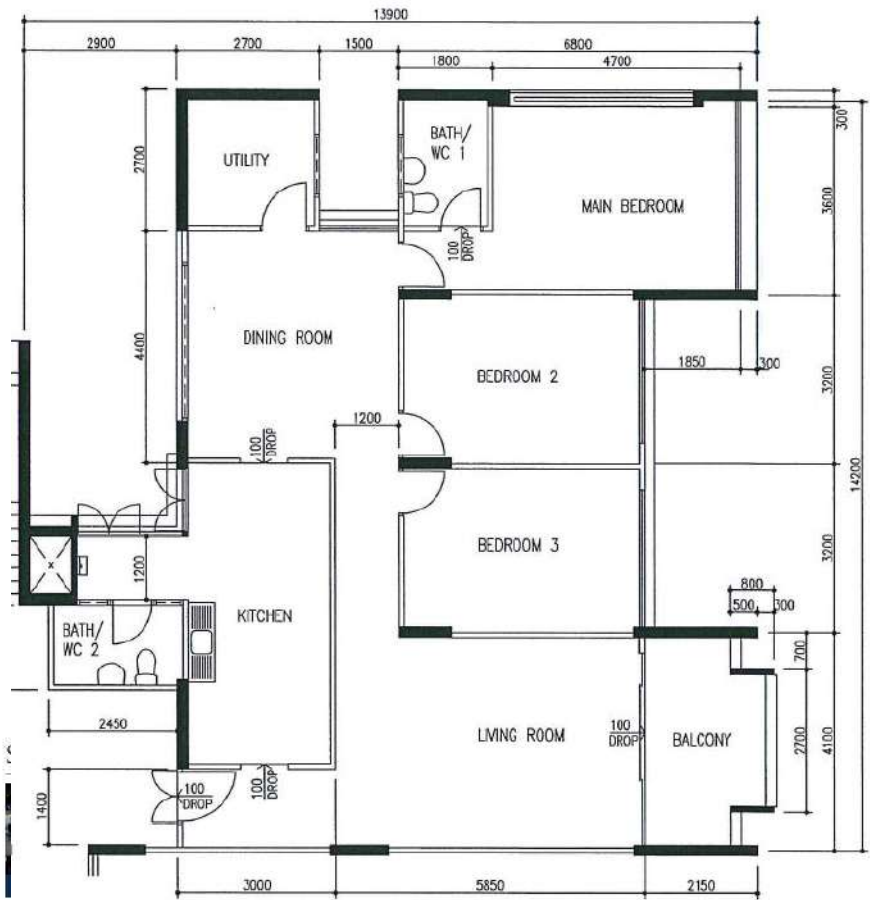
PUBLISHED: OCT 3, 2017, 11:27 AM SGT | UPDATED: OCT 3, 2017, 2:44 PM



Lee Min Kok

This article was first published on Sept 14, 2017, and updated on Oct 3, 2017.

SINGAPORE - Madam Halimah Yacob's fondness for her Yishun home is well documented -



EXECUTIVE APARTMENT (CORRIDOR END)
SCALE 1:100

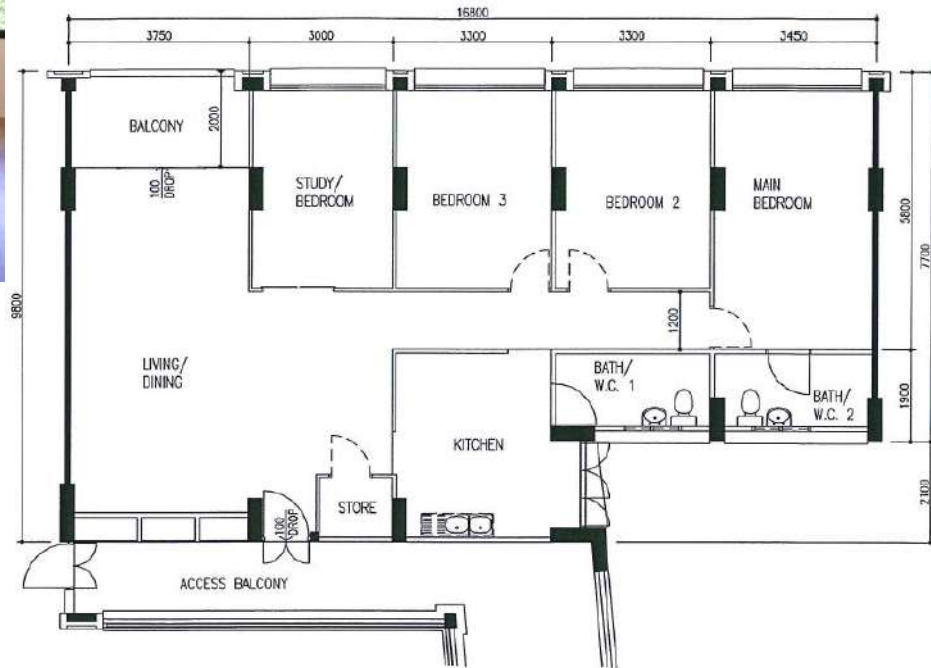
Example of Executive Apartment



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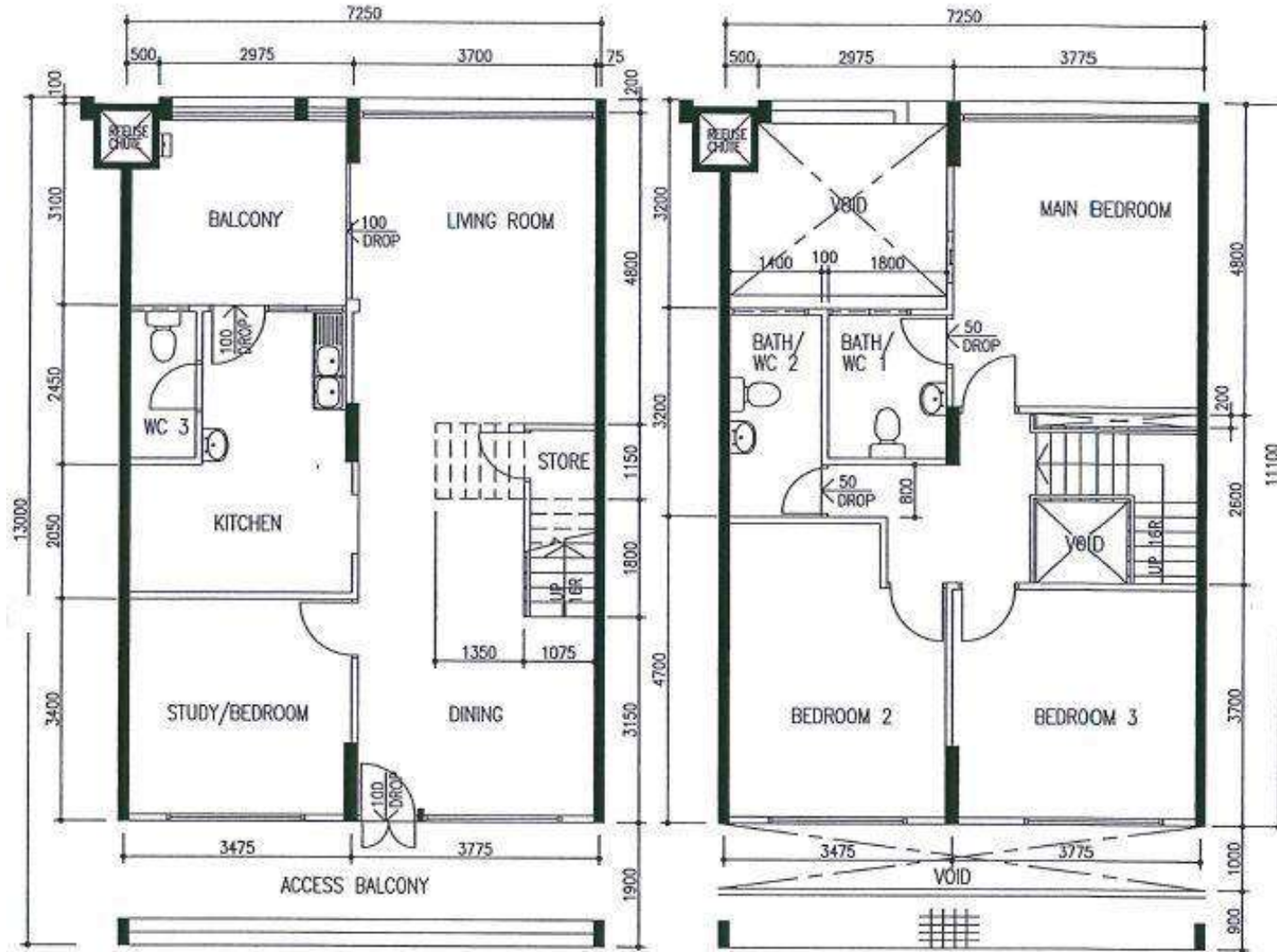
Play badminton in the living room? Why not if you live in a jumbo flat



EXECUTIVE APARTMENT (ATRIUM BLOCK)

SCALE 1:100

Example of Typical Executive Maisonette



LOWER FLOOR PLAN

UPPER FLOOR PLAN

EXECUTIVE MAISONETTE (CORRIDOR)

SCALE 1:100

Modern New HDB Flat Types

HDB Flat Types	Floor area (square metres)	Total no. of bedrooms	Total no. of bathrooms
2-Room Flexi	36 and 45	1	1
3-Room	60 to 65	2	2
4-Room	90	3	2
5-Room	110	3	2
3Gen	115	4	3
Executive Flat	130	3	2



LAYOUT IDEAS FOR 3-ROOM

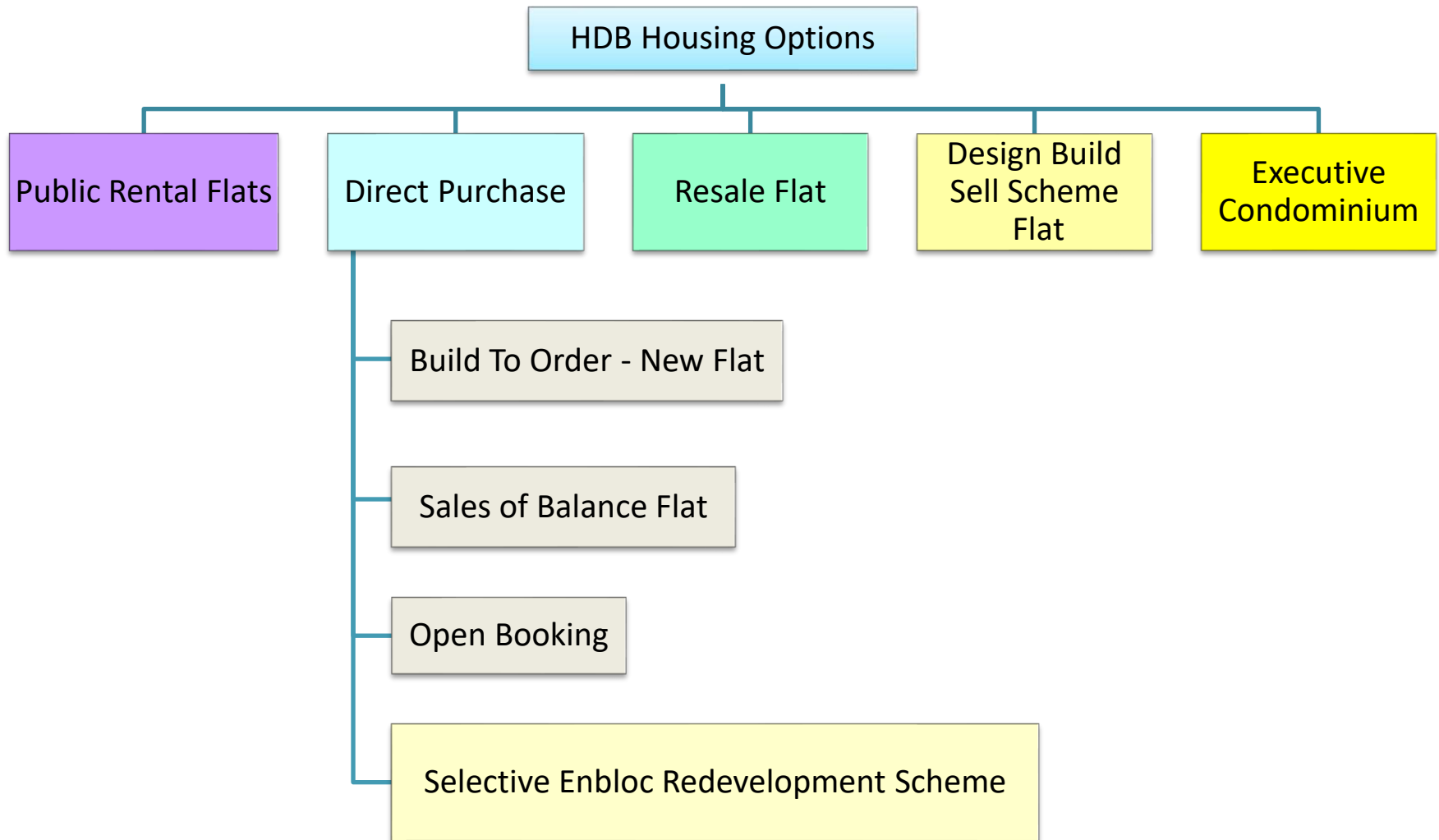


LAYOUT IDEAS FOR 4-ROOM



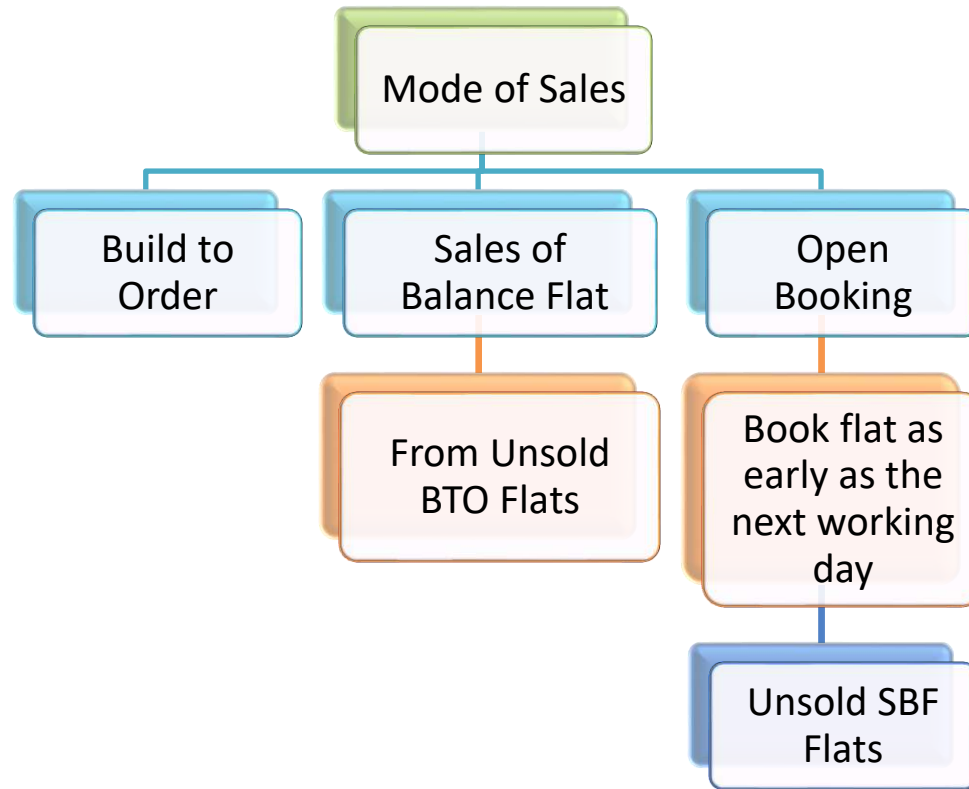
LAYOUT IDEAS FOR 5-ROOM

Singapore Citizen Household – Available Housing Options



Different Mode of Sale

- New flat
- Repossessed Flat



New Flat vs Resale Flat

	New HDB Flat	HDB Resale Flat
Price	New flat is sold at a subsidised price	Price is negotiated between flat owner and buyer.
Locations	Flats are mostly located in non-mature estates.	Any location
Mode of Purchase	Sale launches are held periodically and Flat buyers apply directly to HDB for a flat.	Flats can be purchased from the open market any time.

Purchase of Flat - Income Ceiling Limit

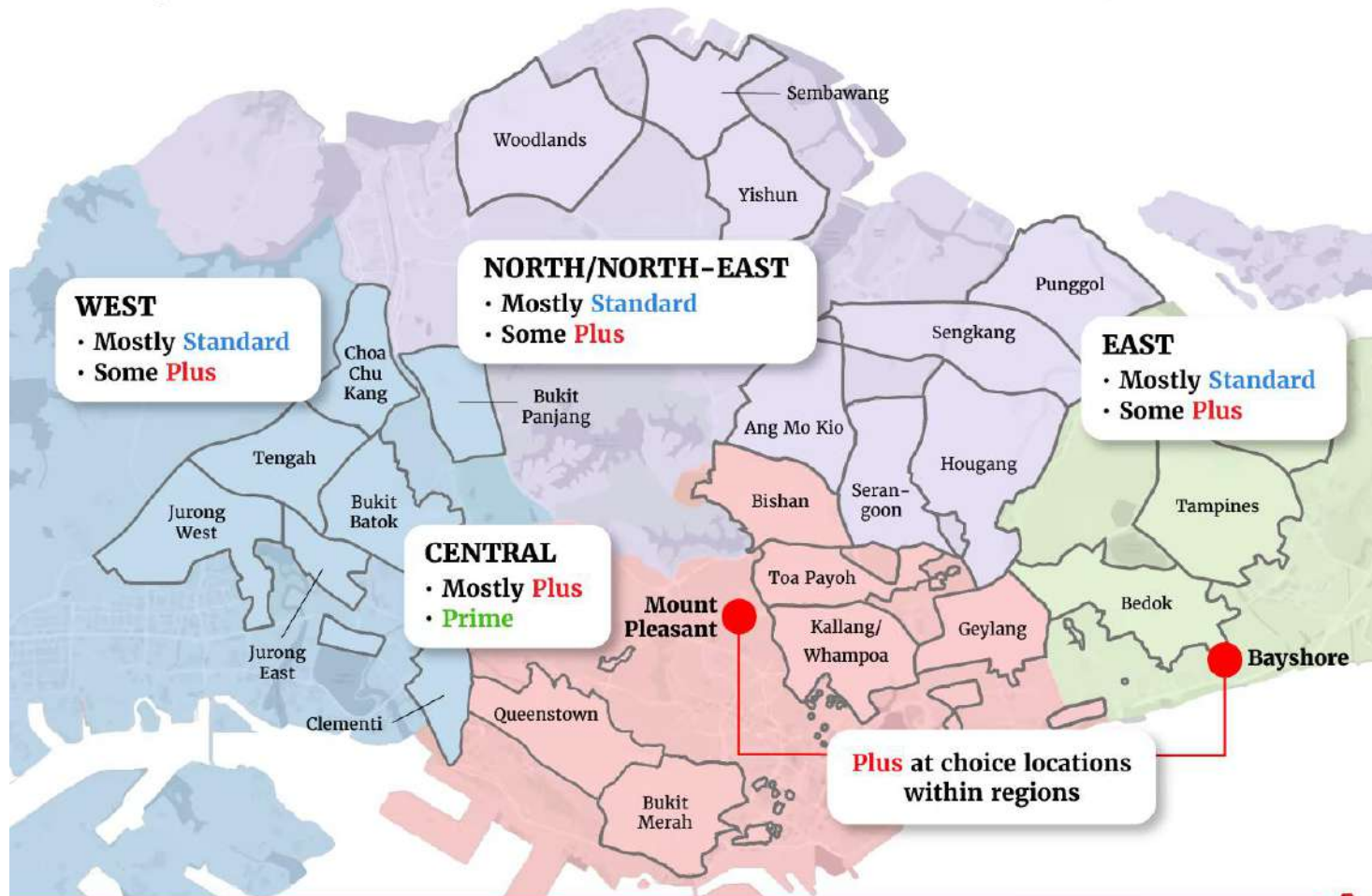
No.	Housing Type	Monthly Household Income
1.	Public Rental Flat	\$1500
2.	Short Lease 2 Room Flexi Flat	\$14,000 (55 Years Old Senior Citizens)
3.	2 Room Flat (99 years lease)	\$7,000 (Single) \$14,000 (Family)
4.	3 Room Flat	\$7,000 or \$14,000 depending on the project
5.	4 Room Flat or Bigger	\$14,000 or \$21,000 (Extended Family)
6.	Resale Flat with Housing Grant	\$14,000 or \$21,000 (Extended Family)
7.	Design Build Sell Scheme Flat	\$14,000 or \$21,000 (Extended Family)
8.	Executive Condominium	\$16,000
9.	Standard Resale Flat or Resale Executive Condominium	No Income Capped
10.	Resale Plus / Prime Flat	\$14,000 (Family)

Re-Classification of Town Estate – Subsidize Flat

NATIONAL DAY RALLY 2023

How public housing projects in Singapore will be classified

Existing HDB flats will not be affected. Standard flats will be in the majority

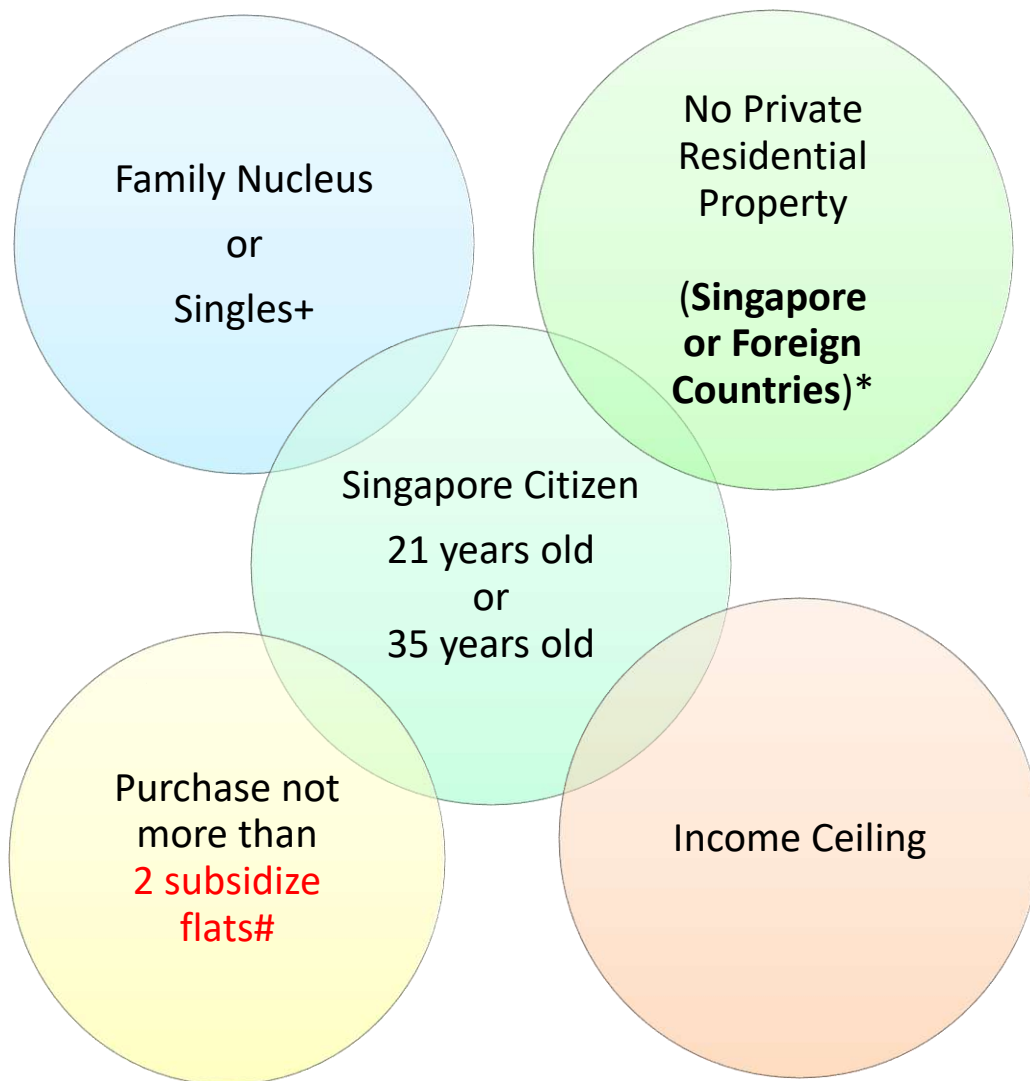


Infographic: Clara Ho

Source: Ministry of National Development and Housing & Development Board, Aug 20, 2023



Subsidize Flat – Eligibility Conditions



- *1. Spouse or Occupants **cannot own** private residential properties.
- *2a. Sold private residential property after **30 months** before applying for subsidize flat.

With effect from 30th September 2022

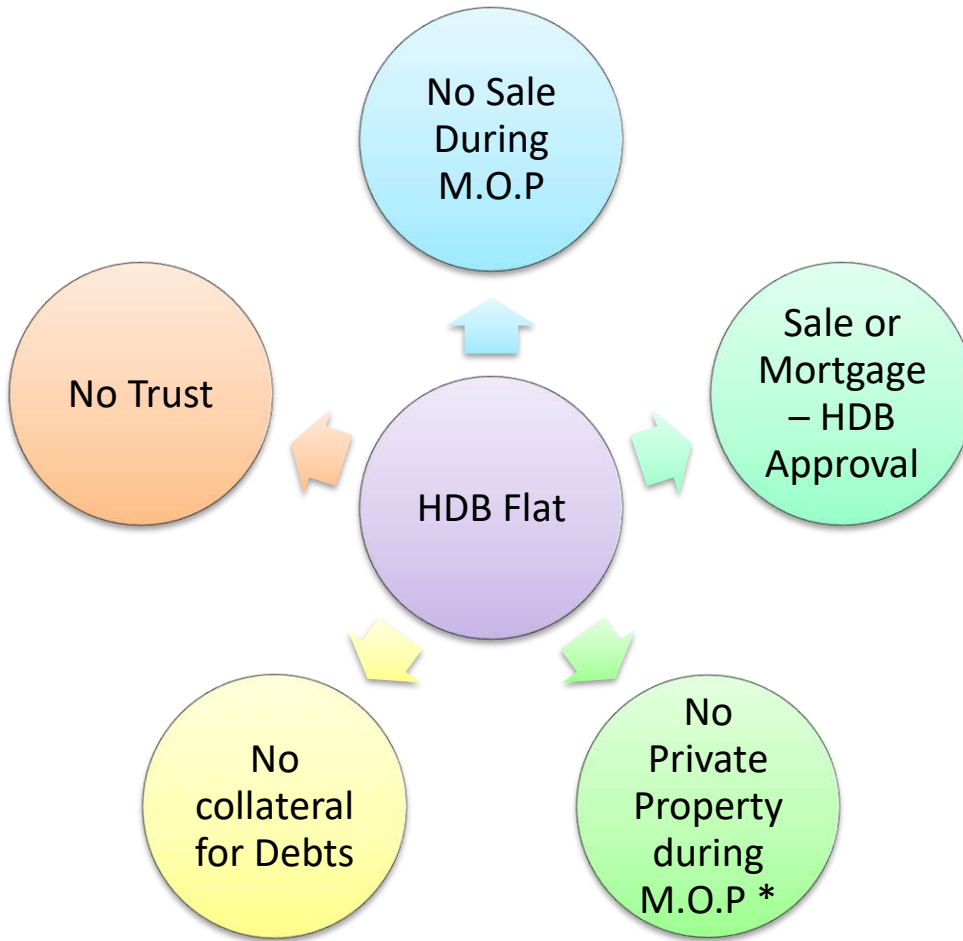
- *2b. Sold private residential property and wait for **15 months prior** purchasing of resale flat.
- * 2c. Wait out period does not apply to seniors aged **55 and above** moving to a 4 room or smaller resale flat

+3. **Single Unwed Parents – 21 years old** can buy up to **3 Room Flat from HDB**

#4a. Singapore Citizen enjoys maximum 2 subsidize housing.

#4b. **Meet Minimum Occupation Period**
▪ **5 / 10 / 20 years**

Housing and Development Act – General Rules



Note:

1. No Private Property Ownership within Minimum Occupation Period
2. **During M.O.P**, No concurrent ownership of:
 - Another HDB flat or
 - Executive Condominium or
 - Private Residential Property
3. **After M.O.P**, **Singapore Citizen Household** allows to invest private property
4. **After M.O.P**, **PR Household** purchase private residential property and must sell HDB flat **within 6 months**
 - Violation of HDB rules → **repossession of flat**

Priority Schemes (Privileges for First-Timers)



1. First-timer applicants → Urgent housing needs
2. **Privileges and priority schemes** → Build-To-Order (BTO) & Sale of Balance Flat (SBF) sales launches.
3. Priority for Design, Build and Sell Scheme (DBSS) flats and Executive Condominiums (EC).

HDB	DBSS	EC
1. 85% of the 3-room 2. 95% of the 4-room and larger 3. Higher proportion of flat supply 4. More & additional ballot chances 5. Staggered Downpayment Scheme 6. Temporary Loan Scheme 7. Deferred Downpayment Scheme	1. 95% of flat supply set aside 2. 1st month initial launch	1. 70% of flat supply set aside 2. 1st month initial launch

Priority Scheme	Available For:	
	HDB	DBSS
Family and Parenthood Priority Scheme (FPPS)	Yes	No
Multi-Generation Priority Scheme (MGPS)	Yes	No
Married Child Priority Scheme (MCPS)	Yes	Yes
Third Child Priority Scheme (TCPS)	Yes	Yes
Assistance Scheme for Second-Timer (Divorced/ Widowed Parents) (ASSIST)	Yes	No
Tenants' Priority Scheme (TPS)	Yes	No
Senior Priority Scheme (SPS)	Yes	No

Support for first-time HDB flat buyers



Build-To-Order

Additional ballot for families with children and married couples aged 40 and younger



Resale

CPF Housing Grant for families buying 4-room or smaller flats to go up from \$50,000 to \$80,000

CPF Housing Grant for families buying 5-room or larger flats to go up from \$40,000 to \$50,000

SOURCE: MINISTRY OF FINANCE

ST

First-timers who reject HDB's offer to pick BTO flats will lose priority for a year



The tightening of rules is meant to reduce the number of people who decline to pick a flat and ensure more efficient allocation. PHOTO: ST FILE



Michelle Ng
Housing Correspondent

UPDATED MAR 2, 2023, 11:03 PM SGT -



SINGAPORE – First-timer applicants who do not select a Build-To-Order (BTO) flat when invited to do so will be considered second-timers in subsequent flat applications for a year.

Note:

1. BTO and SBF applicants who get a queue position falling within the flat supply cannot apply for a flat in later exercises until after their booking appointment
2. From August 2023 BTO exercise, first-timers who receive a queue position and fail to choose a flat once will be **deemed second-timers for a year in the computer ballot.**
3. Those who do not select a BTO flat when invited will have their existing applications for later exercises cancelled.
4. Second-timers who accumulate one non-selection count, down from the current two counts, will have to **wait one year before they can apply for a flat again.**

Priority Schemes

1. Family and Parenthood Priority Scheme (FPPS)

- ✓ 1st Timer Married Singapore Citizen Couple
- ✓ Expecting 1 Singapore Citizen Child or Singapore Child below **18 years old**.

2. Multi-Generation Priority Scheme (MGPS)

- ✓ Parents must submit a joint application with their married child
- ✓ Parents can only apply for a **2-room Flexi or 3-room flat**
- ✓ The married child's household can apply for a 2-room Flexi or larger flat

3. Married Child Priority Scheme

- ✓ At least 1 of the parents or married child is a Singapore Citizen or Singapore Permanent Resident
- ✓ Parents or married child are staying **within 4 kilometres** (HDB Flat or Private Property)
- ✓ **Both parties** must fulfil **5-year** Minimum Occupation Period
- ✓ Priority Ranks as follow:
 1. Applicants who apply for a flat to **live together with** their parents/ married child, i.e. applying for priority under MCPS (with parents/ married child)
 2. Parents who own a flat in a mature estate and are applying for a flat in a non-mature estate to **live closer** to their married child

Priority Schemes

4. [Third Child Priority Scheme \(TCPS\)](#)

- ✓ Singapore Citizen
- ✓ Your family must consist of at least 3 children (natural offspring from the lawful marriage or legally adopted)
- ✓ Third child must be a Singapore Citizen born on or after 1 January 1987
- ✓ Other children must be Singapore Citizens or Singapore Permanent Residents
- ✓ Not previously bought a flat under the TCPS

5. [Assistance Scheme for Second-Timers \(Divorced/ Widowed Parents\) \(ASSIST\)](#)

- ✓ BTO 2-room Flexi and 3-room flats in non-mature estates
- ✓ 1 child aged below **18** years old (natural offspring from the lawful marriage or legally adopted)
- ✓ Must not have acquired any interest in an HDB flat or private residential property (except for your matrimonial flat/ property) after the date of divorce/ separation or demise of your spouse.

6. [Tenants' Priority Scheme \(TPS\)](#)

- ✓ Applicable to SERS flat tenants (Relocation)
- ✓ 2-room Flexi and 3-room BTO/ SBF units
- ✓ Must have been living in a flat rented from HDB for at least 2 years

7. [Senior Priority Scheme \(SPS\)](#)

- ✓ Short Lease 2-room Flexi flat located in the same town or estate, or
- ✓ Within **4 kilometres** of current flat or private property.



Unique types of flats

- Short Lease - 2 Room Flexi Flat
- Community Care Apartment
- 3Gen Flat
- DBSS Flat
- Executive Condominium

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Short Lease 2-Room Flexi Flat

Eligibility

1. Singapore Citizen aged **55 and above**
2. Lease is between **15 to 45 years** in 5-year increments
3. Lease period covers buyers up to the age of at least **95 years**

Requirements

4. Monthly Household Income cannot exceed **\$14,000**
5. Does not own private residential property
 - must **sell within 6 months**
 - from date of taking possession of 2-room Flexi Flat
6. Purchase and sold two subsidize flats purchased.
 - provided applicant have not purchased a Studio Apartment or short-lease 2-room Flexi flat previously

Conditions

1. Cannot sublet your bedroom or the whole flat.
2. Invest in private property after the 5-year MOP
→ **continue living in the short-lease 2-room Flexi flat**
3. Cannot be sold in the open market
 - Flat must be returned to HDB and receive pro-rated sum of original selling price

Available through HDB Only

1. BTO
2. SBF
3. Open Booking



How is HDB helping Singapore's ageing population?

Monetisation Options

Seniors looking to monetise their flats to supplement their retirement income can:



Rent out their spare bedroom or whole flat

- Rent out their spare bedroom for additional income
- Rent out their entire flat, if they move in with their children



Apply for the **Lease Buyback Scheme (LBS)**

- Receive cash bonus of up to \$30,000 and monthly payouts for life, while continuing to live in the flat
- Opt to rent out a spare room to further supplement retirement income



Sell their current flat, buy a 3-room or smaller flat and apply for the **Silver Housing Bonus**

- Receive cash bonus of up to \$30,000 and monthly payouts for life
- Opt to rent out a spare room to further supplement retirement income

Senior-Friendly Features

Seniors who prefer added safety and comfort in their homes can:



Install senior-friendly features under the **Enhancement for Active Seniors (EASE)** programme

- Opt to install grab bars, ramps, and slip-resistant treatment for bathroom tiles

Housing Options

Seniors who prefer other housing options can:



Buy a short-lease flat under the **2-Room Flexi Scheme**

- Choose a lease of between 15 and 45 years in 5-year increments
- Benefit from priority schemes
- Opt for additional senior-friendly fittings under the Optional Components Scheme

Community Care Apartments

- joint offer by MND, MOH, and HDB.
- integrates senior-friendly housing with care services that can be scaled according to care needs and social activities to support seniors



Basic Service Package

All residents must subscribe to the Basic Service Package, which includes the help of a community manager who will see to the following:

- Arranging add-on care and support services (additional charges apply)
- Simple home fixes
- Activities at the communal spaces
- Basic health checks
- 24-hour emergency response
- Key card access to individual flats

Community Care Apartments

- Singapore Citizen aged 65 years and above
- Income Ceiling \$14,000
- Non SC Spouse must be added as core occupier
- Lease from 15 to 35 years in 5-year increments
- lease must be able to last all core applicants and core occupiers until at least age 95
- must sell local or overseas private residential property within 6 months from the completion of the flat purchase
- MOP 5 years

Lease Buyback Scheme

Additional Assistance → Senior Singapore Citizen

THE STRAITS TIMES



Lease Buyback Scheme extended to all HDB flats

Seniors living in five-room and larger flats can now sell part of remaining lease to HDB



Mr Tang Lum Sui, a part-time security guard, lives alone in his Jalan Bahagia five-room flat. The 68-year-old widower had petitioned his MP several times to have the scheme - rolled out in 2009 - extended to home owners like him. ST PHOTO: NG SOR LIAN

Criteria	Eligibility
Age	65 years or older
Citizenship	At least one owner must be a Singapore Citizen
Income	\$14,000 or less
Flat type	All flat types*
Property Ownership	No concurrent ownership of second property
Minimum Occupation Period	All owners have been living in the flat for at least 5 years
Minimum Lease	At least 20 years of lease to sell to HDB



Example of 3Gen Flat – Income Ceiling \$21,000



To buy a [3Gen flat](#), the applicants and occupiers must form multi-generation family must comprise:

- Married couple and parent(s)
- Courting couple (fiancé and fiancée) and parent(s)
- Widow/ widower with child and parent(s)
- Divorcee with child and parent(s)

Design Build & Sell Scheme (DBSS) Flats



Developers bid sites via public tender. (GLS)

Applicant must need to qualify for the DBSS flat under 1 of these eligibility schemes:

- Public Scheme
- Fiancé/Fiancée Scheme
- Orphans Scheme

CPF Housing Grants are available for DBSS flat purchases from developers:

- Family Grant
- Half-Housing Grant
- Singles Grant
- Enhanced CPF Housing Grant for Family / Single
- Proximity Housing Grant

(Suspended in 2011)

Location	DBSS Names
Tampines	The Premiere
Boon Keng	City View
Ang Mo Kio	Parc Central
Bishan	Natural Loft
Simei	Parc Lumiere
Toa Payoh	The Peak
Yishun	Adora Green
Tampines	Centrale 8
Bedok	Bedok Belvia
Hougang	Parkland Residences
Jurong West	Lake Vista
Clementi	Trevelis
Pasir Ris	Pasir Ris One



Executive Condominium Housing Scheme Act

- Developers bid sites via public tender. (GLS)

Conditions of Purchase:

Singapore Citizen Household

1. Eligible Scheme:

- Public Scheme
- Fiancé/Fiancée Scheme
- Orphans Scheme
- Joint Singles Scheme

2. Age: 21 years old (family) or 35 years old (Joint Singles)

3. Minimum Occupation Period: **5 years from T.O.P**

4. No investing of private residential property during M.O.P (**Owners or Occupiers**)



Executive Condominium

5. No ownership of private property prior applying for EC
(Sold private residential property and **wait for 30 months** before applying for EC)
6. Executive Condominium sold to:
 - Singapore Citizen or Permanent Resident after **5 years**
 - Foreigners after **10 years**
7. No subletting of entire Executive Condominium during M.O.P
8. Do not need prior approval from HDB to rent out the bedrooms within the M.O.P.
However, EC owners **must register** the subletting of bedrooms with HDB **within 7 days**.
9. Transfers or trust created within M.O.P without HDB's consent are null & void.

Note:

Housing Developer Control Licensing Act applies for all purchases of Executive Condominium



Housing Grant Policy

1. CPF Grants are subsidies
2. Each CPF Housing Grant is given once only **
3. Singapore Citizen Household only
4. 1st Time Buyer
5. 2nd Time Buyer (**under special situations**) **
6. **Remaining Lease** must be **20 years** (Resale Flat)
7. Continuously **Employed** for **12 months**
8. **No ownership private residential property**

Types of Housing Grants

* Important Notes:

Remaining lease must be 20 years and above

1. Executive Condominium (Developer)

- CPF Housing Grant (Family)
- Citizen Top Up Grant
- Half-Housing Grant

2. DBSS Flats (From Developers)

- CPF Housing Grant (Family / Singles Grant)
- Citizen Top Up Grant
- Enhanced CPF Housing Grant (Family / Singles Grant)
- Half-Housing Grant
- Proximity Housing Grant

3. HDB Resale Flats

- CPF Housing Grant (Family / Singles Grant)
- Citizen Top Up Grant
- Top Up Grant
- Enhanced CPF Housing Grant (Family / Singles Grant)
- Proximity Housing Grant
- Step Up CPF Housing Grant (approved on or after 22 May 2019)

4. HDB Flats (Direct from HDB)

- Enhanced CPF Housing Grant (Family / Singles Grant)
- Step-Up CPF Housing Grant
- Fresh Start Housing Grant

Available Grants for Executive Condominium (Developer)

Monthly Household Income	CPF Housing Family Grant		Half-Housing Grant First-timer (FT) & Second-timer (ST) who has previously taken 1 housing subsidy FT/ ST couple
	Singapore Citizen (SC/SC) Household	SC/SPR Household	
\$10,000 or lower	\$30,000	\$20,000	\$15,000
\$10,001 to \$11,000	\$20,000	\$10,000	\$10,000
\$11,001 to \$12,000	\$10,000	Nil	\$5,000



Citizen Top-Up (SC/ SPR) \$10,000

Conditions:

1. SPR → Singapore Citizen or
2. SC Child born to SC/SPR
3. Submit application within 6 months upon eligible

CPF Housing Grant (Family)

Income Ceiling	Family : \$14,000 Extended family: \$21,000	
Flat Type	2 Room flat or bigger	
Household	Buying 2- to 4-room Resale Flat	Buying 5-room or Bigger Resale Flat
SC / SC	\$80,000	\$50,000
SC / SPR 	\$70,000	\$40,000

Citizen Top-Up \$10,000

Conditions:

1. SPR → Singapore Citizen or
2. SC Child born to SC/SPR
3. Submit application within 6 months upon eligible

Important Note (10th May 2023):

- **Household** is eligible for the Family Grant or Top-Up Grant, **all members** of the core family nucleus will receive **equal shares** of the grant. It will be fully credited into the CPF Ordinary Accounts of SCs and SPRs.

Note: **Only core applicants** can use their housing grants to pay for the flat purchase.

CPF Housing Grant (Family) + [Top Up Grant](#) (1st Timer and 2nd Timer)

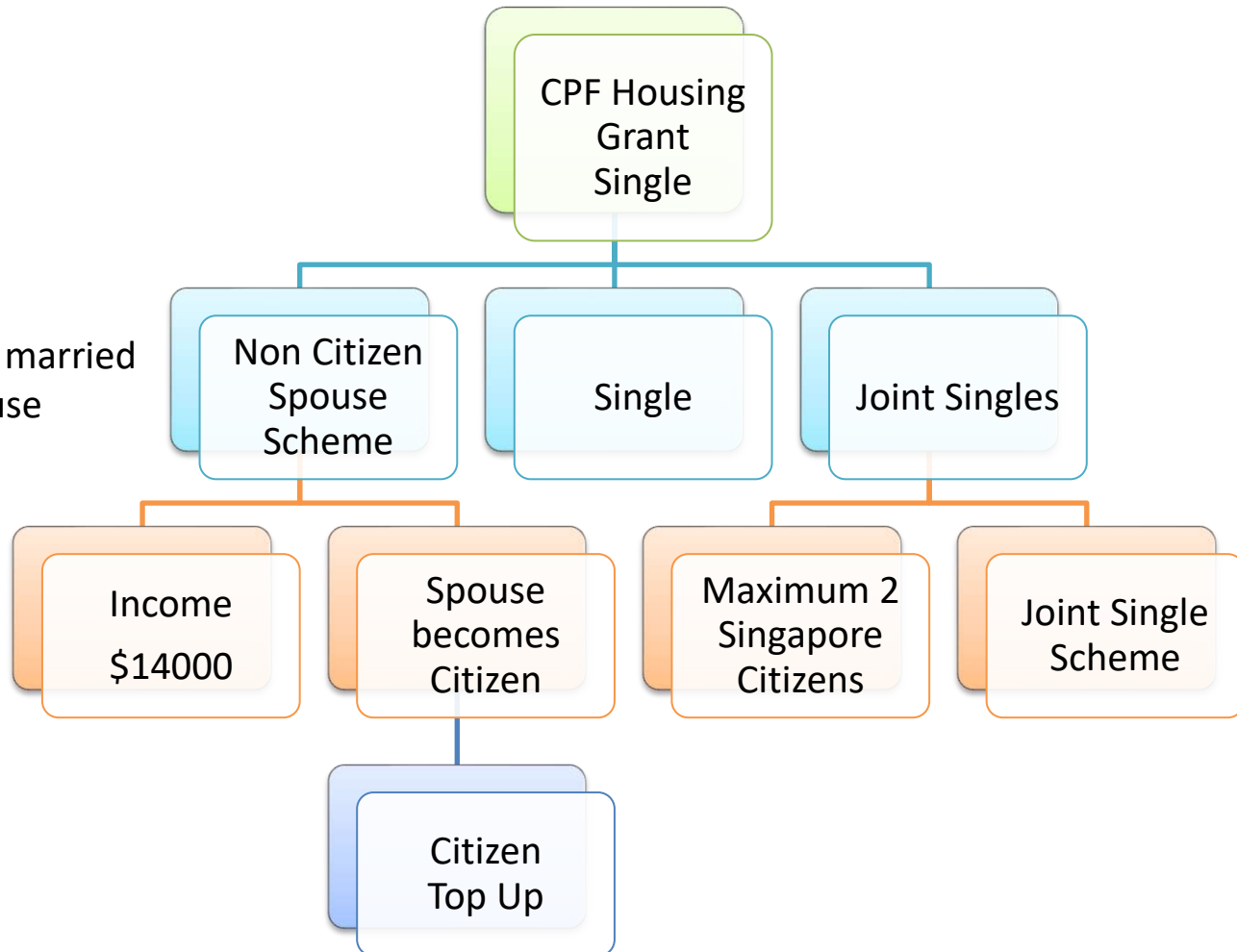
Family Status	Buying 2- to 4-room Resale Flat	Buying 5-room or Bigger Resale Flat
SC – 1st Timer / SC – 2nd Timer	\$40,000	\$25,000

[Top Up Grant](#) – 10th May 2023

- **\$40,000** if buyer bought a **2-room or 2-room Flexi flat** from HDB

CPF Housing Grant (Single)

Income Ceiling	\$7,000	
Flat Type	2 Room to 5 Room Flat	
Buying	2- to 4-room Resale Flat	5-room Resale Flat
Single SC	\$40,000	\$25,000



Note:

Singapore Citizen married to Foreigner Spouse

Proximity Housing Grant (PHG)

1. Buyers have not received the PHG previously



HDB website → Distance Enquiry for Proximity Housing Grant (**up to 4 km**)

	To live with parents / child	To live within 4 km radius of family
Families	\$30,000	\$20,000
Singles	\$15,000	\$10,000

Proximity Housing Grant (PHG)

2. Single Buyers can received PHG based on:

For	Flat Type
Singles living near parents	2 to 5-room flat
Singles living with parents	Any flat type

Example 1

Peter and Mary married & buy a HDB resale flat to stay **with** Peter's parents.

PHG = \$30,000

Example 2

Peter and Mary married & buy a HDB resale flat to stay with **near** Peter's parents HDB flat.

PHG = \$20,000

Example 3

Ali just celebrated his 35 years old birthday and bought a resale **4 room** flat which was near his parents' HDB flat.

PHG = \$10,000

Enhanced CPF Housing Grant

Conditions:

1. First Timer
2. Income Ceiling - \$4500 (Single) or \$9000 (Family)
3. Worked continuously for 12 months prior to the flat application
4. Remaining Lease of Flat - 20 years or more
5. Flat must have sufficient lease to cover the youngest buyer and spouse/ fiancé(e) to the age of 95 to qualify for the full EHG. Otherwise, the EHG will be pro-rated.
6. Must not own any of the following properties whether locally or overseas, or have disposed of any such properties in the 30 months before flat application:
 - Private residential property (including privatised HUDC flats and ECs)
 - House
 - Building
 - Land
7. Can own Non-residential Property at point of application

Average Monthly Household Income* Over 12 Months	EHG Amount (Family)
Not more than \$1,500	\$120,000
\$1,501 to \$2,000	\$110,000
\$2,001 to \$2,500	\$105,000
\$2,501 to \$3,000	\$95,000
\$3,001 to \$3,500	\$90,000
\$3,501 to \$4,000	\$80,000
\$4,001 to \$4,500	\$70,000
\$4,501 to \$5,000	\$65,000
\$5,001 to \$5,500	\$55,000
\$5,501 to \$6,000	\$50,000
\$6,001 to \$6,500	\$40,000
\$6,501 to \$7,000	\$30,000
\$7,001 to \$7,500	\$25,000
\$7,501 to \$8,000	\$20,000
\$8,001 to \$8,500	\$10,000
\$8,501 to \$9,000	\$5,000

Average Monthly Household Income* Over 12 Months	EHG (Singles)
Not more than \$750	\$60,000
\$751 to \$1,000	\$55,000
\$1,001 to \$1,250	\$52,500
\$1,251 to \$1,500	\$47,500
\$1,501 to \$1,750	\$45,000
\$1,751 to \$2,000	\$40,000
\$2,001 to \$2,250	\$35,000
\$2,251 to \$2,500	\$32,500
\$2,501 to \$2,750	\$27,500
\$2,751 to \$3,000	\$25,000
\$3,001 to \$3,250	\$20,000
\$3,251 to \$3,500	\$15,000
\$3,501 to \$3,750	\$12,500
\$3,751 to \$4,000	\$10,000
\$4,001 to \$4,250	\$5,000
\$4,251 to \$4,500	\$2,500

Step Up CPF Housing Grant – New or Resale Flat

Conditions:

1. Second Timer Applicant
2. Apply for 2-room Flexi, 2-room or 3-room flat in non-mature estates
 - Current flat is 2 room flat or Public Rental Flat
3. Income Ceiling - \$7000
4. Worked continuously for 12 months prior to the flat application
5. Remaining Lease of Flat - 20 years or more
6. Flat must have sufficient lease to cover the youngest buyer and spouse/ fiancé(e) to the age of 95 to qualify for the full Step Up Grant. Otherwise, the Step Up Grant will be pro-rated.

Step Up
Housing Grant
\$15000

Fresh Start Housing Grant → 2nd Timer Applicant



Short-lease Flat	1. Buy a short-lease 2-room Flexi flat in BTO or SBF sales exercises 2. Lease range from 45 years to 65 years but it must cover all owners and spouse-occupiers minimally till they are 95 years old 3. 20-year Minimum Occupation Period
Cap on Resale Levy	4. \$30,000 - Adjusted downwards based on the length of the lease chosen
Grant	5. \$35,000 lump sum will disburse into applicants' CPF Ordinary Account before key collection 6. Remaining grant of up to \$15,000 may be disbursed into eligible applicants' CPF Ordinary Accounts equally over 5 years after key collection
Priority Allocation	9. 10% of 2-room Flexi units allocated under the <u>Tenants' Priority Scheme</u>

Exercise (Sample Exam Questions)

Adam's annual income is \$40,000 and Fiona earns \$2000 per month. Both are Singapore Citizens. They wish to buy their 1st property near parents' flat. How much grant are they eligible if they buy:

1. New HDB flat – 4 room flat
2. Resale 4 Room flat
3. Executive Condominium



HDB Policy

- 1. Resale Levy**
- 2. Ethnic Integration Policy & SPR Quota**
- 3. Eligibility Scheme**
- 4. HDB Estate Renewal - Upgrading Programmes & Selective Enbloc Redevelopment Scheme**
- 5. Minimum Occupation Period**

Resale Levy Amount

The resale levy is meant to reduce housing subsidy on the buyers' **second subsidised flat**.

Payable	Not Payable
You are selling a first subsidized flat and buying: - a second subsidised flat from HDB - take over ownership of another subsidised HDB flat - an Executive Condominium (EC) from a developer where the land sale was launched on or after 9 December 2013.	You are selling your first subsidized flat and buying: - Design, Build and Sell Scheme (DBSS) flat from a developer - EC from a developer; where the land sale was launched before 9 December 2013 - HDB resale flat - Private residential property

First Subsidised Housing Type	Resale Levy Amount	
	Family	Single
2-room flat	\$15,000	\$7,500
3-room flat	\$30,000	\$15,000
4-room flat	\$40,000	\$20,000
5-room flat	\$45,000	\$22,500
3Gen flat	\$45,000	Not applicable
Executive flat	\$50,000	\$25,000
Executive Condominium	\$55,000	Not applicable

Ethnic Integration Policy – 1st March 1989

Singapore Permanent Resident Quota Policy – 5th March 2010

The ethnic proportions and SPR quota are **updated on the 1st of every month** and will apply to all completed resale applications received during that month

Household's Citizenship	Proportion and / or Quota to Meet
SC household At least 1 Singapore Citizen (SC) is listed as a buyer	EIP
Malaysian SPR household At least 1 Malaysian SPR is listed as a buyer, and no SC is listed as a buyer	EIP
Non-Malaysian SPR household All of the buyers are non-Malaysian SPRs, i.e. no SCs or Malaysian SPRs listed as buyers	EIP and SPR

Ethnic Group / Household Type	Ethnic Limit / SPR Quota	
	Neighbourhood	Block
Chinese	84%	87%
Malay	22%	25%
Indian & Others	12%	15%
Non-Malaysian SPR Household*	5%	8%

Estate Renewal - HDB Upgrading Programmes

There are 3 upgrading programmes:

1. Lift Upgrading Programme (LUP)
 - 75% votes
2. Home Improvement Programme (HIP)
 - Essential, Optional, and Enhancement for Active Seniors (EASE)
 - 75% votes
3. Neighbourhood Renewal Programme (NRP)
 - 75% support

Before



After



Upgrading Costs:

Whoever is the owner of flat at the point when HDB issues the invoice for the owner's share (based on the scheduled billing date) has to pay the upgrading cost.

Invoice is rendered

- i. Before legal completion → seller pays upgrading cost
- ii. After legal completion → buyer pays upgrading cost



Estate Renewal – Selective Enbloc Redevelopment Scheme (SERS)

THE STRAITS TIMES

LOG

Woodlands Checkpoint to be expanded, 9 HDB blocks in Marsiling will be acquired



The expansion will address traffic congestion and meet a projected 40 per cent increase in traffic volume by 2050. ST PHOTO: ONG WEE JIN

Selected older estates are chosen to redeveloping the land for better use.

- HDB will buy back the flat at marketing value and
- Offer a new location and a replacement flat
(Fresh 99 year Lease) OR
- 45 years old and above flat owner can 3-room or larger replacement flat on a 50-year lease
- SERS Grant **\$30,000**
(Singapore Citizens Only)
- Waiver of Resale Levy

Samuel Devaraj and Isabelle Liew

UPDATED MAY 26, 2022, 11:08 PM SGT

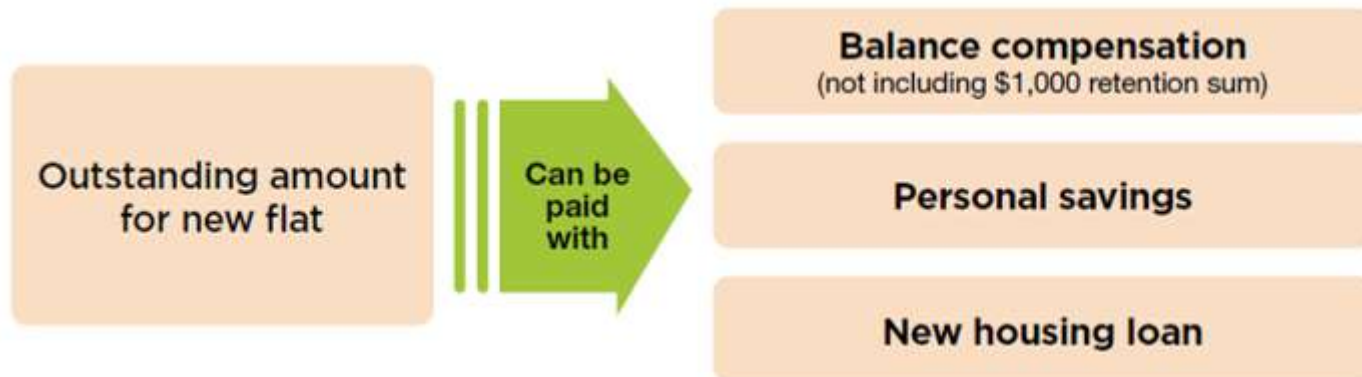


SINGAPORE - The Woodlands Checkpoint will be expanded to meet future traffic demand, and nine Housing Board blocks nearby will be acquired to make way for the massive redevelopment.

SERS Compensation



Outstanding amount for new flat



Eligibility Schemes → Purchase HDB Flats

Type of Flats	Available Schemes
Resale Flat	1. Public Scheme 2. Conversion Scheme 3. Fiance / Fiancee Scheme 4. Single Singapore Citizen 5. Joint Singles 6. Non Citizen Spouse 7. Non Citizen Family 8. Orphan Scheme

Type of Flats	Available Schemes
1. New Flats 2. Direct Purchase from HDB	1. Public Scheme 2. Fiance / Fiancee Scheme 3. Single Singapore Citizen 4. Joint Singles 5. Non Citizen Spouse 6. Orphan Scheme

NOTE:

1. Purchase **Standard** Resale Flat
→ **No Income Criteria**
2. Purchase **Plus / Prime** Resale Flat
→ **Income \$14,000**
3. Taking HDB Loan or Grant
→ **Income Criteria Requirement**

Type of Flats	Available Schemes
Executive Condominium	1. Public Scheme 2. Fiance / Fiancee Scheme 3. Joint Singles 4. Orphan Scheme

4. If applicant, spouse or listed occupiers own any private residential property, they must sell the properties and wait for **15 months before** purchase a standard resale flat.

Public Scheme

Citizenship

- Applicant must be SC (New Flat) or SPR*
- Family nucleus must have 1 other SC or SPR

Age

- At least 21 years of age.

Family Nucleus

- must form a family nucleus, such as:
 - Spouse and children (if any)
 - Parents and siblings (if any)
 - Children under legal custody, care and control (for widowed, divorced or separated persons).

Note: Starting from 27th Aug 2013

SPR household must wait for 3 years from date of obtaining SPR status before they can buy a resale flat

Conversion Scheme

Option 1 - Buying 2 adjoining units of 3 room or smaller HDB Resale flats.

Option 2 - Buying adjoining 3-room or smaller HDB Resale flat.

Citizenship, Age and Family Nucleus Conditions Applies

Special Conditions

- **Option 2** → must be the owner of one of the 3-room or smaller flat.

Fiance / Fiancee Scheme

Citizenship

- Applicant must be SC (New Flat) or SPR*
- Family nucleus must have 1 other SC or SPR

Age

- At least 21 years of age.

Family Nucleus

- Fiancée must be co-applicant or occupant.

Special Conditions

- Register the marriage
 - a) Taking any housing grants
 - Submit marriage certificate to HDB on or before date of taking possession of flat
 - b) Not taking housing grants
 - Within 3 months from date of taking possession of flat

Note: Starting from 27th Aug 2013

SPR household must wait for 3 years from date of obtaining SPR status before they can buy a resale flat

Single Singapore Citizen Scheme

Citizenship

- Applicant must be SC.

Age

- (Unmarried or divorced) At least 35 years old.
- (Widowed or orphaned) At least 21 years old.

Definition: Single

1. Unmarried person
2. Widowed person
3. Orphan
4. Divorcée

Special Conditions

If an orphan:

- At least one of their deceased parents was SC or SPR
- If Orphan who is below 35 years old, the orphan must not have another sibling who is below 35 years old buying/ owning another flat under the:
 - a. Orphans Scheme
 - b. Single Singapore Citizen Scheme
 - c. Joint Singles Scheme.

Orphan Scheme

Citizenship

- Applicant must be SC.
- **Must include** SC or PR **unmarried** siblings

Age

- At least 21 years old

Special Conditions – as Single Citizen Scheme applies

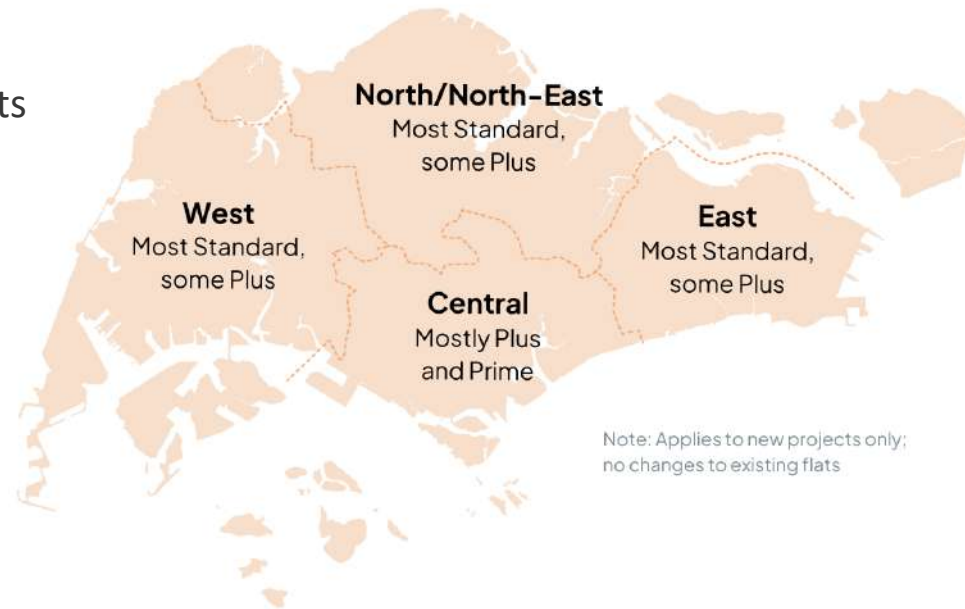
Single Singapore Citizen – Housing Options

With the new classification, eligible first-timer singles can:

1. Apply for **2-room Flexi BTO flats** in **all locations** across **Standard, Plus and Prime** housing projects
2. Buy a **Standard or Plus flat** of any size (except 3Gen flats) in the **resale market**
3. Buy a **2-room Flexi Prime flat** in the **resale market**

NDR 2023

Where to expect the Standard, Plus & Prime BTO projects from H2 2024



Joint Single Scheme

Citizenship

- Applicant must be SC.
- Maximum **4 single applicants**

Age

- (Unmarried or divorced) At least 35 years old.
- (Widowed or orphaned) At least 21 years old.

Special Conditions - If an orphan:

- At least one of their deceased parents was SC or SPR
- If Orphan who is below 35 years old, the orphan must not have another sibling who is below 35 years old buying/ owning another flat under the:
 - a. Orphans Scheme
 - b. Single Singapore Citizen Scheme
 - c. Joint Singles Scheme.

Definition: Single

1. Unmarried person
2. Widowed person
3. Orphan
4. Divorcée

Non-Citizen Spouse Scheme

Citizenship & Age

- Applicant must be **SC** and **21 years old**

SC with foreigner (non SC/SPR) spouse buying a flat

Family nucleus

- Applicant must add **Non-Citizen Spouse** as occupier in application.

Special Conditions

1. If Buyer is between **21 years to 34 year old**, Spouse must have valid (**minimum 6 months**) **Long Term Visit Pass** or **Work Pass**
2. If Buyer is **35 years old**, Spouse must have valid **Visit Pass** or **Work Pass**.

Non-Citizen Family Scheme

SC with foreigner family members buying HDB Resale flat

Citizenship & Age

- Applicant must be **SC** and **21 years old**

Family Nucleus - must form family nucleus with:

- Parents and siblings (if any) or
- Children under legal custody, care and control (for widowed, divorced or separated persons)
- At least one non-citizen parent or child must have a valid (**minimum 6 months**) **Long Term Visit Pass** or **Work Pass**

When Can Owner Sell His Flat in the Open Market ?

Minimum Occupation Period (MOP) is calculated from:

1. Date which **sellers collect the flat keys**
2. **Excludes any of the below periods** which seller does not occupy the flat:
 - a) Whole flat is rented out or
 - b) Extension period after completion (maximum 3 months) or
 - c) when there has been an infringement of the flat lease

Purchase Mode	MOP
1. 1-room flat	No MOP
2. Flat purchased from HDB (with or without CPF Housing Grant)	5 years
3. Resale flat purchased from Open Market (with or without CPF Housing Grant)	
4. Design, Build and Sell Scheme (DBSS) flat purchased from a developer	
5. Flat purchased under the Selective En bloc Redevelopment Scheme (SERS)	5 years from the date of occupation / key collections
6. Flat purchased under SERS with Portable SERS Rehousing Benefits	5 years
7. Flat bought under Fresh Start Housing Scheme	20 years
8. Prime Location Housing	10 years
8. Executive Condominium (Developer)	5 years

Bold scheme will ensure HDB flats in prime areas are not treated like stock market investments



By LEE NAI JIA AND SING TIEN FOO

Published NOVEMBER 03, 2021

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26 SHARES



Ilir Nadhrah Mansor/TODAY

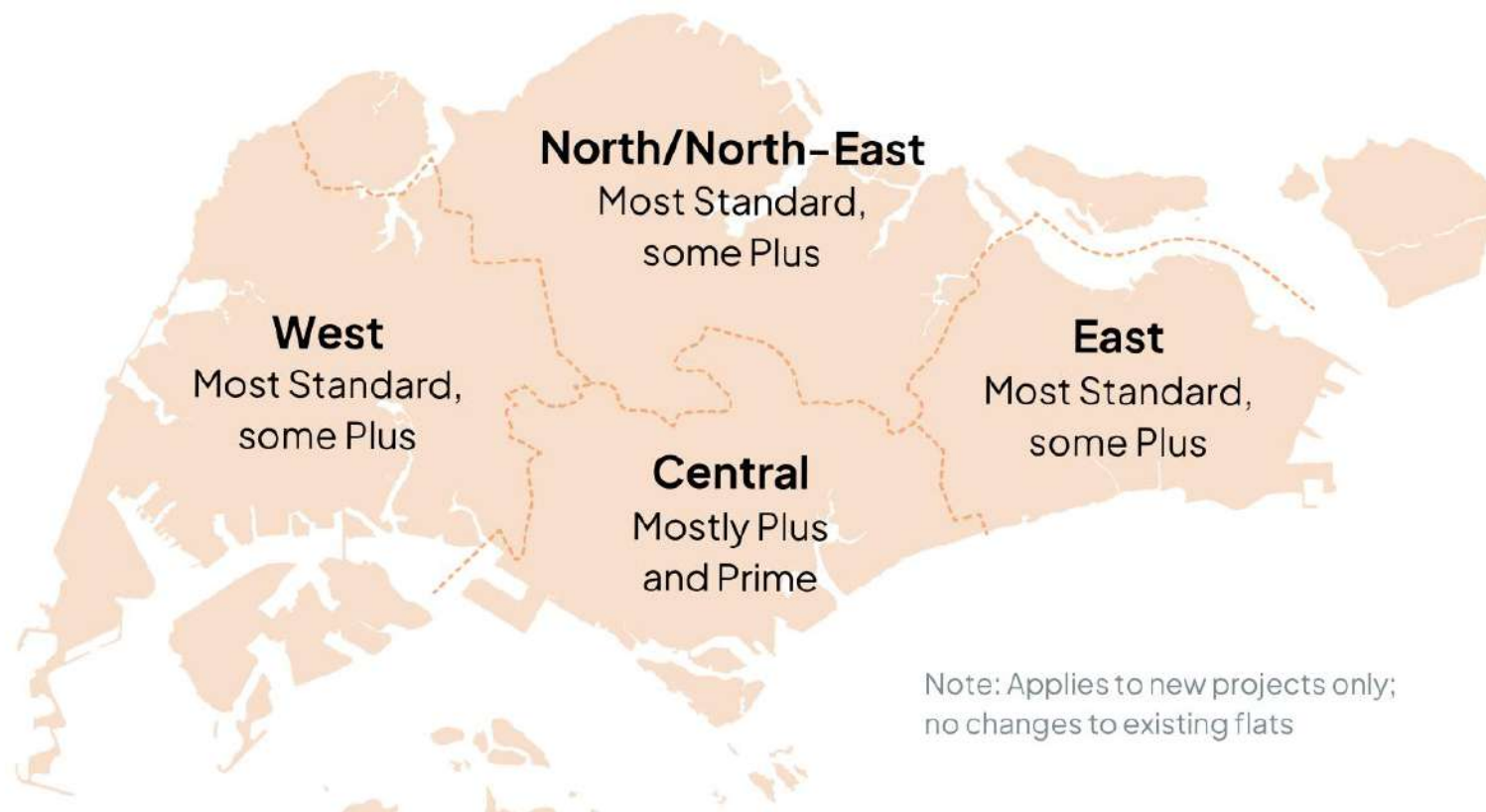
One of the concerns of having public housing in prime locations is the "lottery effect", where buyers make significant gains from the sale of their flats.

Follow us on [Instagram](#) and join our [Telegram](#) channel for the latest updates.



Conditions on Plus & Prime Flat

Classification	Locations	Subsidies	Conditions
Standard	Islandwide	Standard	Standard
Plus	Choicer (Region)	More	Tighter
Prime	Choicest (Singapore)	Most	Tightest



KEY FEATURES OF THE PLH MODEL



Priced with additional subsidies, which will be recovered when the flat is sold in the resale market



Priority allocation quota for Married Child Priority Scheme (MCPS) to be adjusted



Additional eligibility conditions for buyers of resale PLH flats



Longer Minimum Occupation Period (MOP) and tighter rental conditions



Integration of public rental flats, where feasible

Subsidy Recovery After Sales

Upon selling the flat, sellers have to return a **percentage of the resale price*** of the flat to HDB as a means to recover the additional subsidies.

The subsidy recovery percentage will commensurate with the extent of the initial additional subsidy provided.

Details will be provided when **Prime / Plus** projects are launched for sale

Property analysts unsure whether 6% subsidy clawback for Rochor BTO flats will curb 'lottery effect'



The Rochor project will be located on two plots of land along Weld Road and Kelantan Road next to Jalan Besar MRT station. PHOTO: ST FILE



Michelle Ng
Housing Correspondent

PUBLISHED NOV 17, 2021, 8:52 PM SGT



SINGAPORE - The jury is still out on whether the 6 per cent subsidy clawback upon resale of units in the Rochor Build-To-Order (BTO) project will be able to deter speculative buyers looking for a windfall gain.



New 'Plus' HDB flats: What you need to know

Standard	All locations Applies to most flats Standard subsidies	Standard restrictions: • 5-year MOP
Plus From H2 2024	Choice locations within regions (for example, near transport nodes such as MRT stations, town centres) More subsidies	Tighter restrictions: • 10-year MOP, subsidy recovery upon resale (lower than Prime) • Some BTO eligibility conditions on resale, including income ceiling • More details to come
Prime Since Nov 2021	Choicest and most central locations (for example, city centre and surrounding towns, Greater Southern Waterfront) Most subsidies	Tightest restrictions: • 10-year MOP, subsidy recovery upon resale • No whole flat rental • Full BTO eligibility conditions on resale, including income ceiling (\$14k for couples, \$7k for singles)



Prime HDB Flat - Prime Location Housing

S/N	After the Purchase of a flat	BTO Standard Flat	Prime Flat
1	Resale of flat	Allowed after 5 years MOP [*]	Allowed after 10 years MOP [^]
2	Investment in private property	Allowed after 5 years MOP [*]	Allowed after 10 years MOP [^]
3	Renting out of whole flat	Allowed after 5 years MOP [*]	Not allowed
4	Renting out of spare rooms	Allowed	Allowed

S/N	Conditions	Prime Resale flats	Typical Resale Flats
1	Citizenship	- At least one applicant is a SC - Household must comprise at least one SC and one SPR	- At least one applicant is a SC or SPR. - Household can comprise only SPRs.
2	Family nucleus	Must have an eligible family nucleus e.g. married couple.	Must have an eligible family nucleus; or if single, must be aged 35 and above.
3	Income ceiling	\$14,000	Not applicable.
4	Private property ownership	Must not own or have an interest in a private property and have not disposed of any in the last 30 months.	Allowed, but must dispose of private property within 15 months of buying the resale flat.

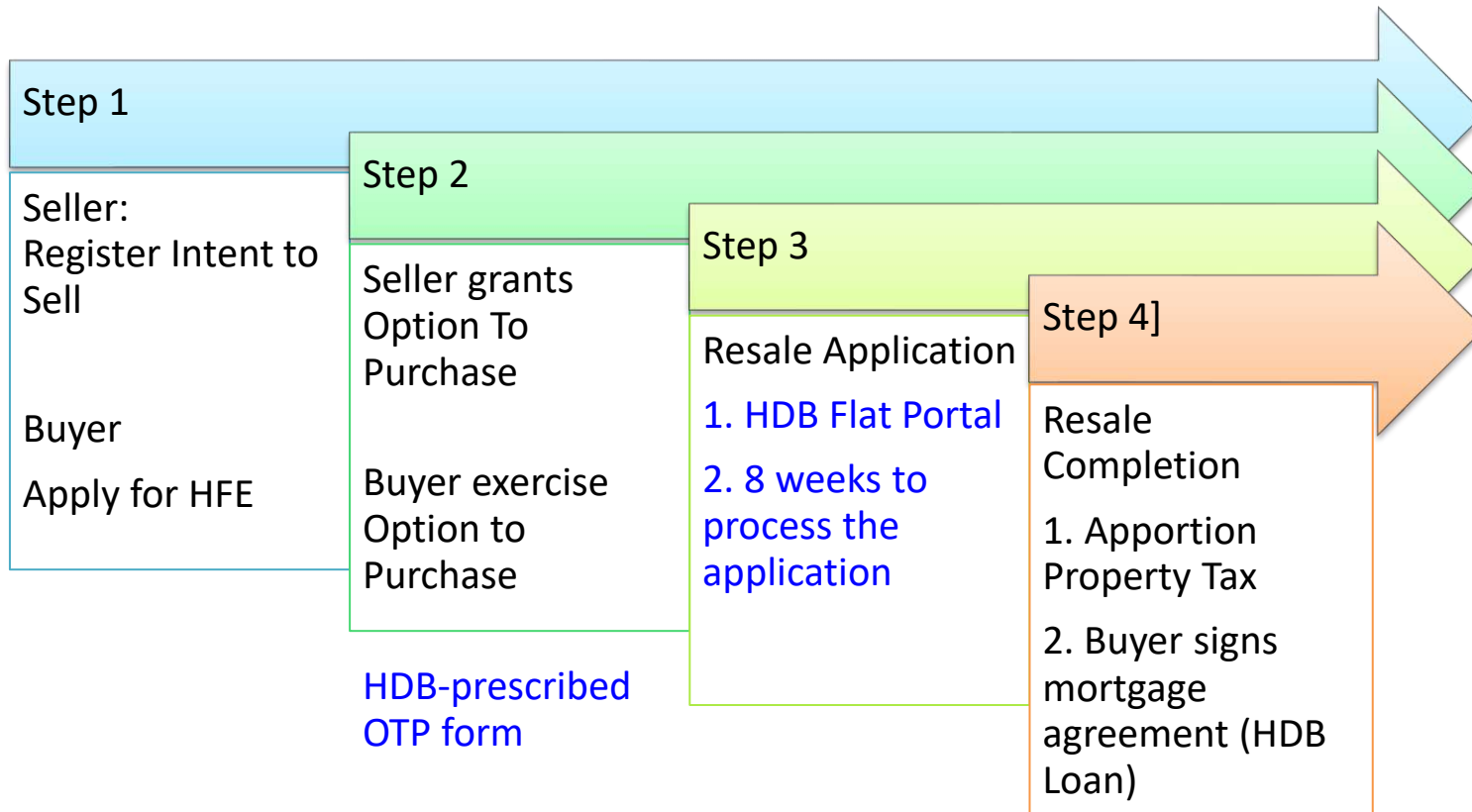


HDB Resale Flat Transaction Procedures & Contract

- 1. Sales & Purchase Resale Flat Process**
- 2. HDB Flat Portal**
- 3. Option to Purchase**
- 4. Extension Stay**

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HDB Flat – Resale Flat Process



Buying a Resale Flat

Plan, Source and Contract

-  1 Register Preliminary HFE check
-  2 Obtain HFE letter
-  3 Search for flat and obtain Option to Purchase from flat seller
-  4 Confirm mode of financing
-  5 Submit Request for Value
-  6 Convert In-Principle Approval (IPA) into a Letter of Offer (LO)

Resale Application

-  7 Submit resale application
-  8 Acknowledge resale documents
-  9 Pay fees
-  10 Get resale approval

Resale Completion

-  11 Attend completion appointment

Buying and Selling a Resale Flat

Plan, Source and Contract

Sellers register Intent to Sell

Buyers obtain HDB Flat Eligibility (HFE) letter

After sellers and buyers agree on price, sellers grant Option to Purchase

Buyers submit Request for Value (if applicable)

Buyers exercise Option to Purchase

Resale Application

Sellers and buyers submit respective portions of the resale application

HDB accepts application

Sellers and buyers endorse the respective documents and pay the necessary fees

HDB gives resale approval

Resale Completion

8 weeks after HDB accepts the resale application

Sellers and buyers both attend completion appointment

HDB – Register Intent to Sell (1st Jan 2018) – My HDB Flat Portal (29th January 2024)

Resale flat buyers and sellers need to login to **My Flat Dashboard** to start their buying or selling journey.

Purpose of Register Intent to Sell

1. Confirming eligibility to sell flat instantaneously
2. Upon registration, information about EIP/ SPR Quota for the flat, status of upgrading, billing of upgrading costs and recent transacted prices of nearby flats.
3. Register Intent to Sell is valid for **12 months**
4. Flat owner will need to re-apply an Intent to Sell upon expiry

HDB Flat Portal shows details of flats offered for sale:

1. Location – New BTO Flats
2. Indicative prices
3. Preliminary designs
4. The number of units of flats offered

HDB Flat Eligibility (HFE)

From 9 May 2023, buyers must have a valid **HDB Flat Eligibility (HFE)** letter **before applying** for a flat.

Purpose of **HDB Flat Eligibility**

1. HDB assess buyer's **eligibility to purchase** an HDB resale flat and provides a holistic understanding of buyer's housing and financing options
2. Instant upfront assessment on eligibility to buy an HDB resale flat, **housing grants and an HDB housing loan**.
3. Buyers must have a **valid HDB Flat Eligibility letter prior sellers grant OTP**
4. 2 Stage Process – **1st Stage is valid for 1 month**
5. **HDB Flat Eligibility** is valid for **9 months**

HDB Option to Purchase (Standard Contract) – Key points

1. When entering the OTP:
 - a) Seller & Buyer must declare the **true resale price** of the flat to HDB
 - b) Arrangements cause true resale price declared to be inflated or understated
 - c) **The penalty for false declaration includes a fine and/ or up to 3 years' imprisonment.**
2. Seller and buyer **shall not** enter into any of the following:
 - a) Supplementary/ other agreements
 - b) **The penalty for false information includes a fine of up to \$5,000 and / or up to 6 months' imprisonment.**
3. Contract is null and void if made:
 - a) in other contract format (not using HDB OTP)
 - b) With additions, deletions or variations on the clauses

Key Features of HDB OTP

Option Fee: Amount not > **\$1,000.**

Deposit: Amount (including Option Fee) not > **\$5,000.**

Option Period: **21 calendar days** from Option Date (including Saturdays, Sundays & Public holidays)
The Option expiry time is standardized at 4 pm.

Example 4

Seller grants Option on 1 Dec 2022, the Option will expire on 22 Dec 2022 at 4pm.

Key Features of HDB OTP

Exercising OTP:

1. Valid HFE or Bank's Letter of Offer
2. Buyers go through register intent to buy
3. All buyers must sign on the "ACCEPTANCE" section in the OTP
4. Pay the Option Exercise Fee to the seller
5. A witness (Salesperson) must sign on the OTP

HDB Option to Purchases - Clauses

1. Clause 4 - Request for Valuation

Buyers apply for valuation. Seller must allow valuer to assess value of the Flat within **3 working days** after application. Valuation is available in the HDB Resale Portal within **10 working days**

2. Clause 12 – Application for HDB's Approval

"The Seller and Buyer will within _____ calendar days after the date of exercise of this Option, jointly apply to the HDB for its approval for the sale and purchase of the Flat."

HDB Option to Purchases - Clauses

3. Clause 13

- 8 weeks completion
- Extension Request by Seller – **Maximum 3 Month**
*Seller must have committed (i.e. exercised OTP / signed S&P Agreement) to buy a completed housing unit in Singapore. He must not be subletting the whole flat at the time of resale application.
- Early termination of extension, (New Owner) Buyer must inform HDB. **(Computation of M.O.P does not including extension period)**

Note:

If seller requires a longer time to vacate flat, he must inform HDB resale officer to schedule the completion appointment to a later date. **(Late Completion Penalty applies – C.O.S 2020)**

HDB Flat Inspection

Prior to the Resale Completion Appointment, the resale flat will be inspected by the HDB's Branch officers to check for unauthorized renovation works in the resale flat which may affect the structural stability of the flat / building.

Seller must remove these unauthorized works before the completion of the resale transaction.



HDB Flat Leasing Procedures & Conditions

- 1. Subletting Out Whole Flat**
- 2. Renting out Bedroom**

HDB Guidelines for Renting Out Whole Flat

1. **Singapore Citizens / Household** are allowed to sublet flat
2. **HDB's approval must be obtained.** (HDB's approval letter)
3. Flat owners must fulfill **5 years MOP** for subletting condition
 - flats purchased on or after 30th August 2010.
4. **Non Citizen Quota** apply for Subletting of Flat

Flat Type	Total Number of tenants
2-room	4
3-room	6
4-room or bigger	8

Non-Citizen* (NC) Subletting Quota

* Refers to **SPRs & Foreigners**

1. Tenants → One or more **non-Malaysian*** is subjected to NC Subletting Quota
2. **Not applicable to subletting of bedrooms**
3. Quota Ratio
 - 8% at the neighbourhood level
 - 11% and block level
4. **Quota reached → Neighbourhood or Block**
 - **No sublet of flat to Non Malaysian tenants**
 - Sublet to Singapore Citizens or Malaysians

sublet



Enquiry on the Non-Citizen (NC) Quota for Renting Out of Flat

Find out the Non-Citizen (NC) Quota for renting out of flats for your block. The NC Quota is applicable if one of the tenants is a non-Malaysian non-citizen (including SPRs and foreigners).



Important Notes

1. This e-Service will not show blocks which are less than 5 years old from the date of purchase.
2. The proportion of flats rented out to non-Malaysian NC tenants in the neighbourhood and block is updated on the first day of every month. The information is valid for applications submitted to HDB in the same month.

* indicates a required field

* I am enquiring as a

☒ Flat Owner ☐ Tenant

* Address of Flat to be rented out / rented

Block No.

Get Street

Street Name

OR

Postal Code

* Citizenship of Tenants

- ☐ All tenants are either Singaporeans or Malaysians
- ☐ At least one of the tenants is a Non-Malaysian NC

Guidelines for Renting Out Room

1. **Singapore or PR Household** allows to sublet a room

- **No. M.O.P requirement**
- **3 room flat or bigger**
- 1 or 2-room flat **not allowed** to rent out your bedroom.

Flat Type	Maximum Number of Bedrooms to Rent Out	Maximum Number of Occupants
3-room	1	6
4-room and bigger	2	8

2. Seek **HDB's approval** before commencement of the tenancy

3. Notify HDB within **7 days**:

- Renew
- Updates new tenants particulars
- Removal of tenants
- Terminate subletting

4. Owners must continue to live in the flat during subletting.

- Otherwise, HDB will take appropriate action under the H&D Act.

Couple's appeal against flat repossession rejected

HDB 'amply justified' in acquiring flat that was rented out without approval, says court



K.C. Vijayan
Senior Law Correspondent

PUBLISHED DEC 3, 2015, 5:00 AM SGT



The top court dismissed a couple's appeal for a judicial review of the Housing Board's (HDB) decision to repossess their flat for illegal sub-letting.

The appeal court, comprising Judges of Appeal (JA) Chao Hick Tin, Andrew Phang and Justice Judith Prakash, found HDB was "amply justified" in compulsorily acquiring the flat and there was no evidence that the minister acted unreasonably in the move.

The case is the first to be heard by the courts involving judicial review of the compulsory acquisition of a flat. Mr Per Ah Seng, 48, and his wife, Madam Tee Bee Kiaw, sought to quash HDB's move to compulsorily acquire their four-room flat in Bukit Batok Central for unauthorised sub-letting.

Tenants who wish to rent HDB flats must be any of the following:

1. Singapore Citizens or Singapore Permanent Residents

2. Non-citizens who are holders of:

- Employment Pass
- S Pass
- **Work Permit**
- Student Pass
- Dependant Pass
- Long-Term Social Visit Pass



Work Permits – Non Malaysians		
Industry	Whole Flat	Rooms
Construction		X
Manufacturing	X	Allowed
Marine		X
Process		X
Serviced	Allowed	Allowed

3. **Validity Period (Pass) at least 6 months** as at the date of subletting application

4. Tourists are **not allowed** as tenants of HDB flats

5. Tenant must not be existing owners of Executive Condominium where 5-year MOP has not been met

6. Tenants **must not be existing flat owner or tenants** of other HDB flats except:

- are divorced / legally separated
(only **one of the divorced** / legally separated parties may be subtenant)
- are eligible to sublet their whole HDB flat (they must sublet their own flat within 1 month after they have rented the flat from another owner)

Other HDB Guidelines

1. No Short Term Rent
 - Minimum 6 months lease period
2. Maximum Subletting Period:
 - a) Non-Malaysian or Non-citizen tenant
 - 2 years
 - b) Citizen or Malaysian tenant
 - 3 years
3. Owner is responsible for the followings:
 - Only the authorised tenants are staying in the flat
 - Number of tenants does not exceed the maximum number allowed
 - Ensure the Tenants
 - use the flat only for residential purpose
 - do not further rent out the flat to others, create nuisance or misuse the flat
 - are legally residing in Singapore
 - comply with all the regulations of the Housing & Development Act.
 - Flat Owner are responsible for all infringements (if any) committed by tenant

HDB Guidelines for Renting Out Whole Flat or Bedroom

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Enquiry on Authorised Tenants

Check if you are registered as an authorised tenant of a flat.

1 Enquirer's Particulars

2 Particulars of Person

3 Results



Important Notes

1. This e-Service will take you about 2 minutes to complete.
2. You will need the following information of the person renting the flat /room to use this e-Service:
 - a. FIN or NRIC Number
 - b. Date of birth
 - c. Address of the flat he is renting
3. Please read the [Privacy Statement](#) and [Terms of Use](#) before proceeding further.

* Indicates a required field

Enquirer's Particulars

* FIN/ NRIC No.

* Full Name

Please click the 'Accept' button if you agree and accept the [Terms & Conditions](#) and wish to proceed with this service.

Accept

Clear



HDB Policy

- 1. Flat Valuation**
- 2. HDB Mortgage Loan Policy**
- 3. Enhanced Contra Facility & Contra Payment Facility**

HDB Flat Valuation

1. The buyers must have a valid valuation report when are purchasing flat if:
 - HDB Concessionary Loan
 - Bank Loan
 - CPF Funds
2. Flat valuation is determining the financing limits for:
 - CPF Usage
 - Housing Loans
 - Cash Payment
3. Request for valuation **after** sellers **granted** the buyers an Option to Purchase (OTP).
4. Submit → HDB website → Request for Value by the next working day
5. Valuation report is **valid** for a period of **3 months** from the date of the report
 - Buyers decide not to exercise the OTP → Lapse

General Information about HDB Concessionary Loan

HDB flat buyers can choose either:

HDB Flat Mortgage Loan	
Bank Loan	HDB Loan

1. HDB Concessionary Loan
 - Apply **HDB Flat Eligibility (HFE)** Letter
 - **9 months validity**
2. Remaining Lease – **20 years**
3. New Flat and Resale Flat
4. **Not available for**
 - Short Term - 2 room flexi-lease flat
 - DBSS
 - Executive Condominium

What is the HDB Flat Eligibility (HFE) letter?

The HFE letter will inform you of your eligibility to:



Buy a new flat from HDB or a resale flat



Receive CPF housing grants, and the grant amounts



Take up an HDB housing loan, and the loan amount

Thinking of taking a housing loan from a financial institution (FI)?

You should obtain an indicative loan assessment when you apply for an HFE letter, by requesting an In-Principle Approval (IPA) from the participating FIs. The FIs will inform you of the outcome of your IPA application(s).



Fulfilling Dreams, Building Homes, Creating Communities
Visit us at www.hdb.gov.sg

General Information about HDB Concessionary Loan

1. Loan Tenure will be **shortest** of:

- 25 years; or
- 65 years minus the average age of the buyers; or
- Balance lease at the point of purchase minus 20 years

2. HDB Concessionary Loan

- Computing borrower eligible loan amount based on 3% Interest rate floor
- Actual HDB Concessionary Interest rate is pegged 0.1% above CPF OA interest rate (____ %) = ____ %

3. Loan to Value - **Valuation or Purchase Price** whichever is **lower**

HDB Loan Tenure	Loan Ceiling
≤ 25 years	LTV 75% ***

* Subject to **Remaining Lease** + **Age of Youngest Buyer** up to **95 years**

** Remaining lease does not cover youngest buyer to the age of 95 → **Pro-rated LTV 75%**

*** With effective from **20th August 2024**

4. Mortgage Servicing Ratio (MSR)

- Assessment for eligibility to obtain mortgage loan
- **Maximum loan repayment percentage** based on borrower's gross monthly income
- Applicable to both HDB or Bank loan

Mortgage Loan – Mortgage Service Ratio

$$\text{MSR} = \frac{\text{Monthly Total Mortgage Repayment}}{\text{Gross Monthly Income}} \times 100\%$$

Mortgage Service Ratio = **30% of Household Income**

Example 5

Daniel's monthly income is \$1400 and interested to buy a flat with a month instalment of \$550 per month. Would he qualify for a loan for this flat purchase ?

$$\begin{aligned}\text{Max MSR} &= 30\% \times \$1400 \\ &= \$420\end{aligned}$$

Daniel cannot qualify for mortgage loan with monthly instalment \$550 which exceed 30% of MSR.

Note:

1. Assuming Daniel takes 25 year loan tenure at HDB interest rates 2.6% and 30% MSR = \$420. His loan quantum would be \$92578. Based on **3% interest rate floor**, loan will be **\$88,568**
2. If 30% MSR = \$550, his loan quantum would be \$121,233. Therefore, there is a cash shortage of \$28655

HFE – Eligibility Conditions

1. Singapore Citizen / Household
2. Have not previously taken **2 or more HDB housing loans**
3. **Monthly Income Ceiling:**
 - a) **Single \$7000**
 - 2 Room New Flat or 2 to 5 Room Resale Flat
 - b) **Family \$14,000 or Extended Family \$21,000**
4. No Private Residential Property
 - **Sold 30 months before the date of application for an HFE letter**
5. Do not own more than 1 market, hawker stall, commercial or industrial property.
 - If own 1 of any mentioned property
 - Borrower must operating the business on the property and no other sources of income

1st HDB Loan and Usage of CPF Money

1. Reduced Loan Quantum

- All CPF OA money will be used to purchase flat before **HDB loan is granted for the remaining amount**

Example 6

Buyer CPF OA: \$135,000
Flat Price: \$500,000
HFE = 75% of LTV
= \$375,000

Assumption - Using up all money in CPF OA

HDB Loan → \$500,000
- \$125,000 (25% down payment - CPF)
- \$10,000 (Balance CPF)
\$365,000 (Actual Loan Granted)

Example 7

Purchase Price: \$350,000
Valuation: \$300,000
Buyer CPF OA: \$90,000

HFE = 75% of LTV
= **\$225,000**
(Apply HFE Online)

Purchase Price	\$350,000
COV	- \$50,000
Down Payment	- \$75,000 (25%)
Balance CPF	- <u>\$15,000</u>
Actual Loan Granted	\$210,000

Flat buyers taking HDB loan can keep up to \$20,000 in CPF

They no longer have to drain Ordinary Account first, and this can improve retirement adequacy



HDB flats opposite 600 Sin Ming Avenue, on May 15, 2018. PHOTO: ST FILE



Rachel Au-Yong
Housing Correspondent

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Flat buyers taking a Housing Board loan will no longer have to drain their Central Provident Fund (CPF) Ordinary Account (OA) first - a move that encourages sufficient retirement savings.

2. Buyer can choose to keep max. \$20,000

Example 8 – Reference to Example 6

Flat Price: \$500,000

HFE = 75% of LTV → \$375,000

Buyer CPF OA: \$135,000

Keep CPF OA \$20K

HDB Loan = \$500,000

- \$115,000 (keep \$20,000)

\$ 385,000

He cannot get a loan of \$385,000 which is above HFE amount.

Disbursed loan amount eventually shall be \$375,000 due to LTV limitation

* Buyer needs to top up \$10,000 cash if he choose to keep \$20,000 CPF money

2nd HDB Concessionary Loan

Loan Quantum for the **second** HDB concessionary housing loan will be reduced by:

1. **Full CPF proceeds** and
2. **Part of Cash Proceeds** from the sale of the existing or previously HDB flat.

Generally, flat buyers can **keep** the **greater of:**

- i. **\$25,000** or
- ii. **50% of the cash proceeds**

and HDB will take into account the remaining part of the cash proceeds when determining the quantum of the second HDB concessionary housing loan

Taking a 2nd HDB Concessionary Loan

Example 9:

Donald and Melania sold 4 room Yishun flat and purchased Serangoon 5 room flat. Previously, they took up a HDB loan for their Yishun flat and taking another HDB loan for purchasing Serangoon 5 room flat.

Calculate the finalized HFE loan quantum amount.

1. Husband & Wife Salary	\$7000 per month
2. Purchase Price (Serangoon flat)	\$550,000
3. Valuation (Serangoon flat)	\$500,000
4. HFE Letter stated amount (before sale of Yishun flat)	\$_____
5. CPF Proceeds OA (Yishun flat)	\$100,000
6. Sales Proceeds (Yishun flat)	\$90,000
7. Current CPF OA Balance Amount	\$30,000
8. HFE Letter based on 2 nd Housing Loan Quantum	\$_____

Note:

Question is not seeking to calculate actual purchase together with the usage of CPF money with HDB loan quantum.

Enhanced Contra Facility (ECF) – Resale Flat

1. **Enhanced Contra Facility (ECF)** allows flat owner selling existing HDB flat and **at the same time**, buy another resale HDB flat **using the sale proceeds and refunded CPF monies**.
2. However, the refunded CPF monies cannot be used for the payment of stamp duty and conveyancing fees. The ECF is jointly implemented by the **CPF Board and HDB**.

With the ECF, flat owner **can reduce**:

- Cash outlay needed for next resale HDB flat
- Mortgage loan amount needed and subsequent monthly repayments

Contra Payment Facility for New Flats

1. **Resale Flat owner** sell current flat and buy a new HDB flat, the Contra Payment Facility can help:
 - Reduce the cash outlay needed for your new HDB flat
 - Reduce the mortgage loan amount needed and the subsequent monthly repayments
 - Collect the keys to your new flat and renovate it while selling your existing flat
2. Contra Payment Facility grants resale flat owner an additional loan on top of your housing loan, after all your available CPF balance is used for the flat purchase.
3. It makes up the shortfall in funds, if flat owners are waiting for sales proceeds from the sale of existing flat to cover the purchase of your new flat.